

Public-Utility Depreciation Policies

Omission of Depreciation Charges. In no field does the question of proper depreciation policy have such practical importance as in the public-utility group. Yet nowhere have there been wider variations in both theory and practice. Some years ago there were instances—notably that of Cities Service Company—of complete failure to make any deduction for depreciation (and depletion) in the annual reports, with a resultant gross misstatement of the earnings for the stock.¹ The argument has often been advanced that depreciation charges may properly be ignored because they are mere bookkeeping entries and do not represent a real outlay of cash. This is a highly inaccurate statement of the case. Depreciation is not a mere bookkeeping conception, because for the most part it registers an actual diminution of capital values, for which adequate provision must be made if creditors or owners are to avoid deceiving themselves.²

Moreover, in the majority of cases the depreciation charges are consumed or offset over a period of time by even larger cash expenditures made for replacements or extensions. More often than not, therefore, depreciation charges are eventually found to be related to actual cash outlays and turn out to be as truly an expense of the business as wages or rents. Minority cases are fairly numerous in which a good part of the

¹ In 1925, for example, the company reported earnings of \$11,497,000 “for common stock and reserves,” said to amount to \$3.05 per share. But the depreciation and depletion charges must have amounted to more than this balance, leaving actually *nothing* earned for the stock. Yet in that year it sold as high as 43.

² In answer to the frequent argument that a depreciation allowance is unnecessary because liberal repairs keep the assets good, we may quote Hatfield’s classic sentence: “All machinery is on an irresistible march to the junk heap, and its progress, while it may be delayed, cannot be prevented by repairs.” Henry R. Hatfield, *Accounting: Its Principles and Problems*, p. 130, New York, 1928.